

rate level or band for the rupee and is not overtly worried by day-to-day volatility. “Most of the depreciation is driven by the uncertainties which have come about because of the global, and especially, the Trump-related tariff announcements. And, hopefully, that should settle down and help us in the downward movement of inflation,” he said at a press conference after the meeting of the RBI’s central board. He underlined that market forces determine the value of the rupee, and the central bank focusses on the value of the rupee in the medium to long term.

At the recent India Today-Business Today Budget Round Table 2025, Finance Minister Nirmala Sitharaman said the fundamentals of the economy remain strong, and the rupee is strong compared to all other currencies. She attributed the depreciation to the stronger US dollar. “It’s not just the situation for the rupee; it’s for every currency against the US dollar. If your currency is fine and fit except for this volatility against the dollar, can it be if your fundamentals are weak? Can it be so if it is a systemic problem?” she said.

Analysts and market participants too, see this slide as par for the course. To be sure, the Indian rupee is not the only currency facing volatility. Other currencies have seen sharper erosions since October 2024 as the US Dollar has strengthened after Donald Trump was elected as the 47th US President on the Make America Great Again promise. The likely inflationary effects of Trump’s trade policies and proposed increase in tariffs on imports from other countries are expected to lead to slower interest rate cuts in the US. Jerome Powell, Chairman of the US Federal Reserve, said in February that the central bank is in “no hurry” to cut rates. “We know that reducing policy restraint too fast or too much could hinder progress on inflation,” he said.

The US Dollar Index, which measures the value of the US dollar against a basket of six major currencies, has gained nearly 5% since January 2024. “One must also realise that this is not so much rupee depreciation as appreciation of the US dollar,” points out Ajay Sahai, Director General and CEO, Federation of Indian Export Organisations. Typically, in such a situation, when the rupee loses value quickly, exporters stand to reap benefits as it makes their products less expensive to foreign buyers.

However, the impact has been limited because currencies of competing countries have fallen more, making the rupee less competitive, he adds.

A study by the FIEO, conducted between September 10, 2024, and January 10, 2025, said the rupee had till then depreciated by 2.4%, while currencies of competing nations had fallen 3% to 7%. The Malaysian Ringgit

WHY THE RUPEE HAS FALLEN



The value of the INR is market-determined, with no target for a specific level or band



The rupee’s fall is largely due to global factors; currencies of several countries are under pressure



The US dollar has been strengthening in recent months due to uncertainty sparked by US President Trump’s tariff policy



INR is also under pressure due to narrowing interest rate differential between the US and India



Foreign portfolio investments outflows of around \$19.5 billion from India between October and January also contributed to the fall



India’s high goods trade deficit has also exerted pressure on INR